



Investing as the Fed cuts rates

4Q25 outlook summary



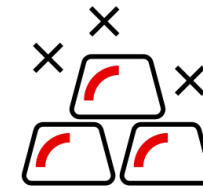
Important questions for the fourth quarter

As we enter the fourth quarter, investors face important questions: How do I make my cash productive, with rates low in Europe and now falling in the US? Where are the best opportunities for growth, with many assets trading at record highs? How can I build resilience and manage risk in a changing environment? This outlook lays out practical steps which we believe can help investors protect and grow wealth in today's market.

Staying invested has paid off. The third quarter demonstrated the value of staying invested. Equity markets ground higher, with the US's S&P 500, Switzerland's SMI, Europe's Stoxx 600, and China's CSI 300 delivering total returns of 13.3%, 7.1%, 12.5%, and 16.9%, respectively. Bonds and credit delivered solid performance, while gold prices surged—with prices rising as high as USD 3,708/oz. The US dollar was broadly stable after a weak first half.

A shift in monetary policy. The Federal Reserve's first rate cut since December 2024 signals the resumption of the rate-cutting cycle, in our view. While inflation is likely to rise in the short term, we believe the Fed will respond to signs of weakness in the US labor market with three cuts of 25bps between now and the first quarter of 2026.

Still decent economic growth. The US labor market is cooling. But other indicators remain resilient, and we do not expect a recession. Europe continues to struggle with muted growth and political strains, though lower energy prices and the effect of European Central Bank easing should provide some offset. China's recovery is uneven, with property weakness and subdued consumer confidence weighing on the broader picture.



ca. **40%**
Gold year-to-date return

Source: Bloomberg, UBS, as of 18 September 2025

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How to invest



Put cash to work

The Fed has resumed its rate-cutting cycle, and rates are already low in much of Europe. This increases the imperative to put cash to work, and we believe investors should limit cash holdings to those needed for near-term expected portfolio withdrawals. Investors can potentially improve upon cash returns by optimizing their liquidity strategy, phasing excess liquidity into diversified portfolios to participate in long-term market gains while managing timing risks, and considering income replacement strategies such as equity income or yield-generating structured strategies. Annuities and borrowing capacity can also help investors manage cash flow more efficiently.

- Optimize liquidity strategy
- Phase excess liquidity into diversified portfolios
- Consider income replacement strategies



Go for gold

Gold has rallied strongly year-to-date. In our view, the yellow metal remains an effective portfolio diversifier and hedge against political and economic risks. We expect gold to benefit from lower real interest rates, a weaker dollar, robust central bank demand, and investor concerns about rising government debt levels, the potential for financial repression, and ongoing geopolitical risks.

- Gold



Buy the dips in equities

We believe lower interest rates, robust earnings growth, and AI tailwinds will support further upside for global equities over the next 6-12 months. Investors underallocated to equities and looking to manage timing risks should consider phasing in and using market dips to add exposure to preferred areas. Globally, we recommend areas benefitting from transformational innovation, including AI, power and resources, and longevity. In the US, we favor the tech, health care, utilities, and financials sectors. In Europe, we like Swiss high-quality dividends, European quality stocks, European industrials, and our "Six ways to invest in Europe" theme. In Asia, we prefer Japan, China's tech sector, Singapore, and India. We also see opportunities in Brazil.

- US: Technology, health care, financials, and utilities
- Asia: Japan, China tech, India, and Singapore
- Europe: Quality and thematic plays



Reduce excess dollar exposure

We expect the US dollar to resume its downward trend in the months ahead. The Fed is set to cut interest rates more quickly than other regions, there is a high outstanding volume of unhedged overseas investment in the US, and the economy's current account and fiscal deficits present headwinds. Tactically, we prefer the euro, Australian dollar, and Norwegian krone. Strategically, we believe investors should review currency allocations to ensure they match future liabilities and spending needs.

- Tactical: Opportunities in the euro, Norwegian krone, and Australian dollar
- Strategic: Review currency allocations and consider hedging US dollar exposure implicit in US assets



Invest in transformational innovation

We believe investors focused on transformational innovation will outperform broader markets. The AI trend continues to drive equity performance, and we expect global AI revenues to grow at a 41% compound annual growth rate through 2030, benefiting infrastructure, semiconductors, and applications. Rising data center demand is pushing US electricity prices higher, spurring record investment in grid infrastructure. We also see opportunities in longevity, as companies providing products and services that help extend healthy lifespans are gaining momentum. Health care sector momentum is improving, and we expect the global obesity drug market to reach USD 200 billion by 2030. Oncology and medical device firms are also set to benefit from structural growth.

- Artificial intelligence
- Power and resources
- Longevity

Strategic messages in focus

Diversify with alternatives

We believe building portfolios for opportunity and resilience can be enhanced by adding alternative investment levers. We believe that including an allocation to alternatives can improve the diversification, growth potential, and downside protection that investors seek. Investors should be aware of the various risks and drawbacks when investing in alternatives, including illiquidity, limited transparency, and the use of leverage.

- Hedge funds
- Private credit
- Private equity
- Real assets

Strengthen your core

Strong market rallies can sometimes mask parts of the portfolio which may not be able to deliver robust returns over the long-term. We generally recommend that investors implement a “core” portfolio that is well diversified across asset classes, geographies, and sectors and designed to grow wealth steadily. This “core” can be held alongside more opportunistic “satellite” investments, allowing investors to stay on course for long-term goals even as markets and “satellite” investments become more volatile.

- Diversified portfolios

Optimize your leverage

Proactive, prudent, and strategic borrowing can enhance an investor’s financial plan. Managed correctly, borrowing can reduce the need for excess cash holdings by providing flexible credit access, enabling rapid diversification, and helping manage exchange rate risks. For investors with a high risk-tolerance, borrowing can also boost returns if expected gains exceed costs. Borrowing is risky and investors should carefully analyze their capacity and willingness to take on leverage.

- Manage liquidity
- Borrow to invest in less correlated assets
- Currency management
- Boosting return potential

Be active

Mixing index-tracking and more active approaches may help balance costs, access less-liquid markets, and potentially generate alpha in a risk-controlled way. Active investing also allows investors to capitalize on equity volatility. In bonds, active management can provide superior risk management for complexities like duration and credit risk. For alternatives, returns can vary significantly among managers, making it important to seek the right ones.

- Actively managed equity approaches
- Actively managed fixed income approaches
- Alternatives

Go sustainable

Sentiment toward sustainable investment strategies has turned more cautious owing largely to concerns about potential changes in US policy. While some sustainability-related policies may be revised, we do not expect sweeping changes and continue to see attractive long-term growth opportunities. The energy transition, for example, presents significant potential in both public and private markets. We recommend a diversified approach across sustainable equities, bonds, hedge funds, and private assets. Strategies focused on ESG leaders—regardless of sector—have demonstrated resilience versus non-ESG benchmarks and remain attractive for investors.

- ESG equities
- ESG fixed income
- Sustainable hedge funds
- Private market impact

Global forecasts

Economy

Real GDP y/y, in %

	2024E	2025E	2026E
US	2.8	1.7	1.4
Canada	1.2	2.0	2.0
Japan	0.1	0.8	0.5
Eurozone	0.9	1.1	0.9
UK	1.1	1.2	1.1
Switzerland	1.4	0.9	1.3
Australia	1.0	1.9	2.2
China	5.0	4.7	3.8
India	6.5	6.4	6.3
EM	4.5	4.3	3.9
World	3.4	3.1	2.8

Inflation (average CPI), y/y, in %

	2024E	2025E	2026E
US	3.0	2.8	3.4
Canada	2.4	2.2	2.1
Japan	2.7	3.4	2.2
Eurozone	2.4	2.1	1.8
UK	2.5	3.4	2.2
Switzerland	1.1	0.2	0.5
Australia	3.2	2.5	2.7
China	0.2	-0.2	-0.1
India	4.6	2.4	4.5
EM	8.0	3.9	3.3
World	5.7	3.3	3.0

Asset classes

	Spot	Dec-25	June-26
Equities			
S&P 500	6,600	6,600	6,800
Eurostoxx 50	5,370	5,500	5,600
FTSE 100	9,208	9,100	9,300
SMI	11,999	12,200	12,600
MSCI Asia ex-Japan	885	870	910
MSCI China	90	89	93
Topix	3,146	3,250	3,350
MSCI EM	1,348	1,270	1,310
MSCI AC World	1,161	1,150	1,190

Currencies			
EURUSD	1.19	1.21	1.23
GBPUSD	1.37	1.39	1.40
USDCHF	0.79	0.78	0.76
USDCAD	1.38	1.34	1.32
AUDUSD	0.67	0.68	0.70
EURCHF	0.93	0.94	0.94
NZDUSD	0.60	0.60	0.62
USDJPY	146	142	138
USDCNY	7.11	7.10	7.00

	Spot	Dec-25	June-26
Yields, in %			
USD 2y Treasury	3.55	3.50	3.25
USD 10 year Treasury	4.09	4.00	3.75
CHF 2y Eidg.	-0.14	0.00	0.00
CHF 10y Eidg.	0.16	0.50	0.50
EUR 2y Bund	2.00	2.00	1.75
EUR 10y Bund	2.68	2.50	2.25
GBP 2y Gilt	3.96	3.75	3.50
GBP 10y Gilt	4.63	4.50	4.25
JPY 2y JGB	0.88	1.00	1.10
JPY 10y JGB	1.60	1.50	1.70

Commodities			
Brent crude, USD/bbl	68.0	62.0	65.0
Gold, USD/oz	3,660	3,800	3,900

Source: Bloomberg, UBS, as of 18 September 2025. Latest forecasts available in the *Global forecasts* publication, published weekly.

Appendix

Nontraditional Assets

Nontraditional asset classes are alternative investments that include hedge funds, private equity, real estate, and managed futures (collectively, alternative investments).

Interests of alternative investment funds are sold only to qualified investors, and only by means of offering documents that include information about the risks, performance and expenses of alternative investment funds, and which clients are urged to read carefully before subscribing and retain. An investment in an alternative investment fund is speculative and involves significant risks. Specifically, these investments (1) are not mutual funds and are not subject to the same regulatory requirements as mutual funds; (2) may have performance that is volatile, and investors may lose all or a substantial amount of their investment; (3) may engage in leverage and other speculative investment practices that may increase the risk of investment loss; (4) are long-term, illiquid investments; there is generally no secondary market for the interests of a fund, and none is expected to develop; (5) interests of alternative investment funds typically will be illiquid and subject to restrictions on transfer; (6) may not be required to provide periodic pricing or valuation information to investors; (7) generally involve complex tax strategies and there may be delays in distributing tax information to investors; (8) are subject to high fees, including management fees and other fees and expenses, all of which will reduce profits.

Interests in alternative investment funds are not deposits or obligations of, or guaranteed or endorsed by, any bank or other insured depository institution, and are not federally insured by the Federal Deposit Insurance Corporation, the Federal Reserve Board, or any other governmental agency. Prospective investors should understand these risks and have the financial ability and willingness to accept them for an extended

period of time before making an investment in an alternative investment fund, and should consider an alternative investment fund as a supplement to an overall investment program.

In addition to the risks that apply to alternative investments generally, the following are additional risks related to an investment in these strategies:

Hedge Fund Risk: There are risks specifically associated with investing in hedge funds, which may include risks associated with investing in short sales, options, small-cap stocks, “junk bonds,” derivatives, distressed securities, non-US securities and illiquid investments.

Managed Futures: There are risks specifically associated with investing in managed futures programs. For example, not all managers focus on all strategies at all times, and managed futures strategies may have material directional elements.

Real Estate: There are risks specifically associated with investing in real estate products and real estate investment trusts. They involve risks associated with debt, adverse changes in general economic or local market conditions, changes in governmental, tax, real estate and zoning laws or regulations, risks associated with capital calls and, for some real estate products, the risks associated with the ability to qualify for favorable treatment under the federal tax laws.

Private Equity: There are risks specifically associated with investing in private equity. Capital calls can be made on short notice, and the failure to meet capital calls can result in significant adverse consequences including, but not limited to, a total loss of investment.

Foreign Exchange/Currency Risk: Investors in securities of issuers located outside of the United States should be aware that even for securities denominated in US dollars, changes in the exchange rate between the US dollar and the issuer’s “home” currency can have unexpected effects on the market value and liquidity of those securities. Those securities may also be affected by other risks (such as political, economic or regulatory changes) that may not be readily known to a US investor.

Global asset class preferences definitions

The asset class preferences provide high-level guidance to make investment decisions. The preferences reflect the collective judgement of the members of the House View meeting, primarily based on assessments of expected total returns on liquid, commonly known indexes, House View scenarios, and analyst convictions over the next 12 months. Note that the tactical asset allocation (TAA) positioning of our different investment strategies may differ from these views due to factors including portfolio construction, concentration, and borrowing constraints.

Attractive: We consider this asset class to be attractive. Consider opportunities in this asset class.

Neutral: We do not expect outsized returns or losses. Hold longer-term exposure.

Unattractive: We consider this asset class to be unattractive. Consider alternative opportunities.

Note: For equities, we have collapsed “Most Attractive” with “Attractive” and “Least Attractive” with “Unattractive” from the five-tier rating system that is found in the Equity Compass into 3 tiers.

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